

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-35

M.E. DEY & CO., INC.,

Complainant,

v.

HAPAG-LLOYD AG and HAPAG-LLOYD (AMERICA) LLC,

Respondents and Third-Party Complainants,

v.

CSX TRANSPORTATION, INC.,

Third-Party Respondent.

**THIRD-PARTY RESPONDENT’S OPPOSITION TO COMPLAINANT
AND THIRD-PARTY COMPLAINANTS’ JOINT MOTION FOR APPROVAL OF
CONFIDENTIAL SETTLEMENT AGREEMENT**

Third-Party Respondent, CSX Transportation, Inc. (“CSXT”), pursuant to 46 C.F.R. § 502.70 and the Presiding Officer’s Order dated July 2, 2024, hereby submits its response in opposition to the Joint Motion for Approval of Confidential Settlement Agreement (“Settlement Motion”) filed by Complainant M.E. Dey & Co., Inc. (“Dey”) and Respondents and Third-Party Complainants Hapag-Lloyd (America) LLC and Hapag-Lloyd AG (“Hapag”) (collectively the “Original Parties”) on June 17, 2024.¹

¹ FMC Docket No. 22-35, Doc. No. 47.

INTRODUCTION

CSXT opposes the Settlement Motion and respectfully requests that the Presiding Officer defer a decision on the Settlement Motion pending completion of the Commission review of the May 17 Order. As more fully explained below, consideration of the Settlement Motion at this time, and in its present form, does not meet the Commission’s standards for approval of a settlement because (1) action on the Settlement Motion would be inconsistent with the Commission’s Notice of Commission Determination to Review, dated Friday, June 14, 2024 (“Review Notice”), and (2) approval of the Settlement Motion and the request that “FMC Docket No. 22-35 should be discontinued in its entirety” is not in the public interest because it does not resolve the issues in Docket 22-35, it would not save judicial resources, and it would prejudice the rights of Third-Party Respondent, CSXT.

RELEVANT PROCEDURAL BACKGROUND

On May 17, 2024, the Presiding Officer granted CSXT’s motion to dismiss the Third-Party Complaint brought by Hapag against CSXT. *Order Granting Third-Party Respondent CSX Transportation’s Motion to Dismiss the Third-Party Complaint and Resetting Briefing Schedule*, FMC Docket No. 22-35, Doc. No. 46 (“May 17 Order”). As noted in the May 17 Order, “[i]n the absence of appeal, this order shall become the order of the Commission thirty (30) days after date of service unless the Commission decides to review. 46 C.F.R. § 502.227(c).” *Id.* fn. 1. Pursuant to the Order, Dey was to file Complainant’s Opening Brief, Proposed Findings of Fact, and Appendix (“Opening Briefs”) on Monday, June 17, 2024. No party appealed pursuant to 46 C.F.R.

§ 502.227 (b)(1); however, the Commission filed a Notice of Commission Determination to Review, dated Friday, June 14, 2024 (“Review Notice”).²

On Monday, June 17, 2024, the date Dey was due to file its Opening Briefs, Dey and Hapag instead filed the Settlement Motion, seeking approval of the confidential settlement agreement and dismissal of Dey’s complaint against Hapag with prejudice. Counsel of record for CSXT were not served with the Settlement Motion but became aware of the Settlement Motion some time after it was posted in the FMC Reading Room. On June 28, 2024, CSXT filed a Request for Status Conference with the Presiding Officer to discuss the Settlement Motion and related procedural matters in connection with service and the Commission’s Review Notice (“Conference Request”).³ Specifically, the Conference Request noted that pursuant to the Review Notice and 46 C.F.R. §§ 502.227(a)(5) and 227(d), CSXT procedurally remained a party in this proceeding pending action on the Commission’s review; that CSXT should have been served with the Settlement Motion; CSXT has substantive legal interests in the Settlement Motion and its outcome; and CSXT should be served and afforded an opportunity to respond to the Settlement Motion. In response to the Conference Request, the Presiding Officer’s July 2, 2024 Order authorized CSXT to file a response to the Settlement Motion on or before July 11, 2024.

ARGUMENT

Under FMC Rules of Practice and Procedure (“Rules”), if parties to a proceeding voluntarily seek to dismiss a complaint pursuant to a settlement agreement entered into between the parties, the agreement must be submitted to the presiding officer with a motion for determination “as to whether the settlement appears to violate any law or policy and to ensure the

² Counsel of record for CSXT were not served with the Review Notice at that time; however, CSXT became aware of the Review Notice after it was posted in the FMC Reading Room.

³ FMC Docket No. 22-35, Doc. No. 48.

settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable.” 46 C.F.R. § 502.72(a)(3). The Commission’s policy encourages reasonable settlements. *See Old Ben Coal Company v. Sea-Land Services, Inc.*, 21 F.M.C. 506, 512 (ALJ 1978); *see also, Pennsylvania Gas and Water v. Federal Power Commission*, 463 F.2d 1242, 1247 (D.C. Cir. 1972). The Commission’s policy is consistent with the Administrative Dispute Resolution Act (“ADRA”), Public Law No. 101-552, which amended the Administrative Procedure Act, 5 U.S.C. § 554(c)(1), requiring opportunity for parties to propose offers in settlement “when time, the nature of the proceeding, and the public interest permit.” *See Banfi Products Corporation, et al. - Possible Violations of Section 16, Initial Paragraph, Shipping Act, 1916 and Section 10(A)(1) of The Shipping Act of 1984*, FMC Docket No. 87-14, 1993 WL 435699 at * 1 (ALJ Sept. 15, 1993); 5 U.S.C. § 554(c)(1).

However, the Commission does not “merely rubber stamp any proffered settlement” without first ensuring that the settlement terms are in accordance with FMC rules and precedents. Thus, when determining whether to approve a settlement agreement, “the Commission evaluates whether it would contravene any law or public policy, and whether it is ‘fair, reasonable, and adequate.’...the Commission weighs enforcement policy in terms of deterrence and compliance, likely costs and delay, and “pragmatic litigative possibilities” regarding the proceeding's potential outcomes. *Wan Hai Lines, Ltd. and Wan Hai Lines (USA) Ltd.---Possible Violations of 46 U.S.C. § 41102(C)*, FMC Docket No. 21-16, 2022 WL 2209415 at *6 (ALJ June 7, 2022) (*citing Possible Unfiled Agreement Between Hyundai Merchant Marine Company, Ltd. and Mediterranean Shipping Co., S.A.*, FMC Docket No. 97-07, 2000 FMC LEXIS 2 at *4 (FMC 2000) (*citing Old Ben Coal Co. v. Sea-Land Serv.*, 21 F.M.C. 506, 512-513; 18 S.R.R. 1085, 1091 (ALJ 1978); *Far*

Eastern Shipping Co. - Possible Violations of Sections 16, Second Paragraph 18(b)(3) and 18(c), Shipping Act, 1916, 21 S.R.R. 743, 1014 (ALJ 1982)).

In the Settlement Motion, Hapag and Dey contend that “[t]he Confidential Settlement Agreement does not contravene any law or public policy and is neither unjust nor discriminatory. ***It does not contemplate any adverse effects on any third parties*** or the shipping public.” Settlement Motion at 3 (emphasis added). However, contrary to the Original Parties’ assertions and assurances, consideration of, or approval of, the Settlement Motion while the May 17 Order is under review by the Commission is (1) procedurally improper and (2) would be premature and fail to meet the Commission’s standards for approval of settlement agreements because doing so is not in the public interest where it does not resolve the issues in Docket 22-35, it would not save judicial resources, and it would prejudice the rights of Third-Party Respondent, CSXT.

I. Approval of the Settlement Agreement and Dismissal of the Proceeding by the Presiding Officer Would be Procedurally Improper While the Commission’s Review of the May 17 Order is Pending

Pursuant to FMC Rules, in the absence of timely appeal of notice or review by the Commission, decisions and orders of dismissal issued by a presiding officer will become the decision of the Commission. 46 C.F.R. § 502.227. However, as a result of the Commission’s Review Notice, the May 17 Order is presently before the Commission for review pursuant to 46 C.F.R. § 502.227(d) (“[s]uch request shall be sufficient to bring the matter before the Commission for review.”), and it is CSXT’s understanding that the May 17 Order is rendered inoperative pending the Commission’s determination of the matter pursuant to 46 C.F.R. § 502.227(a)(5). The May 17 Order includes the order of the Presiding Officer that “[w]ith CSXT dismissed, it appears that no further discovery is necessary, and briefing may resume. The parties are ORDERED to adhere to the following briefing schedule,” which ended the stay that had been in effect pending

the decision on the motion to dismiss and set the Dey – Hapag briefing schedule to commence on June 17, 2024. May 17 Order at 14-15.

Until the Commission addresses its review of the May 17 Order, CSXT remains a party to the proceeding. As a result, the Review Notice directly implicates the resulting finding and order in the May 17 Order resuming the briefing schedule on the basis that “[w]ith CSXT dismissed, it appears that no further discovery is necessary.” *Id.* And while the Settlement Motion expressly requests that “the complaint in this matter be dismissed with prejudice” (*e.g.*, the Dey-Hapag complaint), the further request in the Settlement Motion that “FMC Docket No. 22-35 should be discontinued in its entirety” appears to seek dismissal of the Third-Party Complaint, presumably without prejudice. In this procedural context, taking action to end the stay or ordering commencement of the Dey-Hapag briefing pursuant to the May 17 Order under review, and/or taking action to dismiss the proceeding pursuant to the later-filed Settlement Motion, would be inconsistent with the Commission’s review. That review will determine, *inter alia*, whether the Commission will affirm, overturn, or modify the Presiding Officer’s May 17 Order, including the order granting the motion to dismiss, and as such, whether CSXT will remain a party to the proceeding, whether additional discovery will be necessary, and whether briefing will be necessary.

We respectfully submit that the procedurally proper course of action in light of the Review Notice is to consider the May 17 Order inoperative, maintain the stay that was in effect prior to the May 17 Order, and defer further consideration of the Settlement Motion pending the Commission’s review (or other relevant Order by the Commission).

II. Approval of the Confidential Settlement Agreement Between Hapag and Dey is Not Appropriate Under FMC Precedent

While the Commission has a policy of encouraging settlements, as noted in the authorities cited above, the “Commission does not merely rubber stamp any proffered settlement” and will deny a settlement agreement if it is not in the public interest. *See, e.g., Wan Hai* at *11.

1. The Settlement Agreement Does Not Resolve the Matters as to All Parties Nor Conserve Judicial Resources

Approval of the Settlement Agreement by the Presiding Officer would not serve the public interest, nor would it result in any savings in public and private time and funds. As noted in *Banfi Products Corp., Et Al. – Possible Violations of Section 16, Initial Paragraph, Shipping Act, 1916 and Section 10(A)(1) of the Shipping Act of 1984*, where the proceeding had been heavily litigated, and hearings were anticipated to be lengthy and arduous, the presiding officer determined that approval of the settlement agreement would serve “the public interest by saving public and private time and funds, and by bringing to immediate conclusion a case which may well have been in trial or on appeal for several more years.” FMC Docket No. 87-14, 1993 WL 435699 at *1-2 (ALJ Sept. 14, 1993). Here, approval of the settlement agreement before completion of the Commission’s review would not resolve all matters as to all parties in this proceeding, and would not bring an immediate conclusion to the case. To the contrary, in the event that the Commission overturned the May 17 Order, Hapag’s Third-Party Complaint, or at a minimum Hapag’s right to refile it, would remain.

Nor would there be any savings of judicial resources or narrowing of issues by dismissing the underlying complaint involving the same matters as the Third-Party Complaint. Dey previously argued that “Hapag’s [Third-Party Complaint] claims against CSX arise out of a common nucleus of operative facts as Dey’s claims against Hapag,” which Hapag alleges in the Third-Party

Complaint itself.⁴ Hapag also alleged that Shipping Act liability of CSXT under the Third-Party Complaint would *ipso facto* follow a finding that Hapag violated the Shipping Act as to Dey in the underlying complaint. *See e.g.*, Third-Party Complaint ¶¶ 9, 42, 43, 48 and 49. Unlike the reasoning in *Banfi Products* finding that “[c]learly, settlement of this proceeding serves the public interest by saving public and private time and funds, and by bringing to immediate conclusion a case which may well have been in trial or on appeal for several more years,” here the proceeding would not end, based on Dey and Hapag’s own allegations and arguments, and thus the ALJ would be presented with deciding the same issues that Dey and Hapag purportedly seek to settle. FMC Docket No. 87-14, 1993 WL 435699 * 2 (ALJ Sept. 15, 1993).

Finally, notwithstanding the conclusory allegations in the Third-Party Complaint of a “common nucleus of operative facts” and that Shipping Act liability of CSXT would flow *ipso facto* from liability under the underlying complaint, Hapag’s additional assertions that the Third-Party Complaint also involves issues and facts separate from Hapag’s common carrier liability to Dey⁵ would clearly do nothing to reduce or conserve judicial resources needed to address those additional allegations, to the extent such contract-based claims would be jurisdictionally viable.⁶

⁴ Dey, *Opposition to Third-Party Respondent’s Motion to Dismiss for Lack of Jurisdiction*, FMC Docket No. 22-35, Doc. No. 35 at 4; *Third-Party Complaint*, FMC Docket No. 22-35, Doc. No. 28 at ¶¶ 9-10.

⁵ *E.g.*, allegations in the Third-Party Complaint of liability allegedly “arising out of the terms and conditions controlled by CSXT” (¶ 11); whether the terms of service between CSXT and Hapag were allegedly satisfied “as agreed” between CSXT and Hapag (¶ 37); whether CSXT’s charges were “without prior notice to or approval of” Hapag, (¶ 41); and whether the alleged failure of CSXT regarding provision and use of chassis violated any obligations of CSXT to Hapag (¶ 44).

⁶ To the extent that Hapag alleges that CSXT has liability to Hapag, perhaps under the terms of an agreement between CSXT and Hapag implied by the allegations highlighted above, such liability would be a function of obligations between CSXT and Hapag outside of the Shipping Act over which the Commission lacks jurisdiction to adjudicate. *See, e.g., Mitsui O.S.K. Lines Ltd. v. Global Link Logistics*, Docket No. 09-01, 2011 WL 7144008 at *12, *20-21 (FMC August 1, 2011) (affirming dismissal for lack of jurisdiction of cross-claim premised on indemnification of Shipping Act liability arising under the terms of agreements between the parties).

2. Approval of the Settlement Motion Would Prejudice CSXT

The Settlement Motion contends that approval would not adversely affect any third parties. Settlement Motion at 3. That assertion is not accurate. Notwithstanding the request to dismiss the underlying complaint with prejudice, and the ambiguous request to dismiss the entirety of the proceeding, it is clear from both the procedural effect of the Review Notice and the potential outcome of the Commission's review that CSXT would not be released from potential liability. As noted by the Commission in *APM Terminals North America, Inc. v. PANYNJ*, where the settlement motion would extinguish all claims in the proceeding, the objecting third-party respondent was not prejudiced by approval of a settlement agreement. FMC Docket No. 07-01, 2009 WL 971291, at *3 (FMC April 1, 2009). In *APM Terminals*, complainant and respondent entered into a settlement agreement that also sought to dismiss the third-party complaints against third-party respondent, Maher Terminals, LLC ("Maher"). While Maher was not involved in the settlement discussions and did not sign the settlement agreement, the Commission concluded that "Maher will not be prejudiced by a dismissal of these proceedings. In fact, the approval of the Settlement Agreement would extinguish PANYNJ's claim against Maher, thereby releasing Maher of potential liability were this proceeding to continue." *Id.* at *3. Here, approval of the Settlement Motion would not extinguish all claims or "release [CSXT] of potential liability were this proceeding to continue."

Indeed, even if the Settlement Motion did expressly seek dismissal of the Third-Party Complaint, which it does not, and as a procedural matter should not, CSXT would still face significant potential prejudice. If the Commission affirms or modifies the May 17 Order granting the motion to dismiss, dismissal without prejudice would cloud CSXT's status as a prevailing party for the purposes of a potential fee petition. And even if affirming the result, the Commission's decision may modify, expand, or change entirely the bases or rationale for its decision, which could still negatively impact CSXT's legal rights, but in that scenario the effect of a prior dismissal,

with or without prejudice, could impair CSXT's rights to file exceptions to the Commission and/or subsequent standing to pursue further judicial review without an active case in controversy. Conversely, if the Commission overturns the May 17 Order granting the motion to dismiss, a prior dismissal could still prejudice CSXT's rights to file exceptions to the Commission and/or subsequent standing to pursue further judicial review without an active case in controversy.

CONCLUSION

For the foregoing reasons, CSXT respectfully requests that the Presiding Officer defer issuing a decision on the proposed Settlement Motion pending completion of the Commission's review of the May 17 Order, or other relevant order or action by the Commission.

Dated: July 11, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 11th day of July 2024, the foregoing was served via electronic mail on:

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Respondent and Third-Party Complainant:

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By: /s/ Kristine O. Little
Kristine O. Little